

FAQs

1. What is NPS Bharat Fund of Funds? (NBFoF)

NPS Bharat Fund of Funds (NBFoF) is a dedicated Alternative Investment Fund (AIF) focused Fund of Funds established under the NPS framework to channel a portion of NPS assets (Pension Savings) into carefully selected AIFs in India.

It serves as an institutional investor in order to facilitate structured exposure of NPS assets to high-quality AIFs, while ensuring strong governance, risk management, and fiduciary discipline.

The NBFoF aims to:

- Enhance long-term subscriber returns;
- Provide portfolio diversification through alternative asset exposure;
- Generate alpha through investment in well-managed AIFs; and
- Uphold the highest standards of governance, transparency, and fiduciary oversight.

2. What is NPS Bharat FoF Platform?

The NPS Bharat FoF Platform is a centralized platform that facilitates the end-to-end process of mobilizing a portion of NPS assets into the AIF ecosystem.

The platform serves as a single-window interface for all pre-investment activities, including the onboarding, screening, evaluation, due diligence, and investment recommendation of eligible AIFs on behalf of the NPS Trust.

It also supports post-investment activities, including investment monitoring, performance tracking, compliance oversight, reporting, and ongoing portfolio management, thereby ensuring consistent governance, transparency, and effective oversight throughout the investment lifecycle.

3. What categories of AIFs are eligible for investment under NBFoF?

Only SEBI-registered Category I and Category II AIFs are eligible for investment, in accordance with the applicable Pension Fund Regulatory and Development Authority (PFRDA) investment guidelines.

4. What is the minimum target corpus size required for an AIF to be eligible to apply on the NBFoF?

AIFs with a target corpus of ₹100 Crore or more are eligible to apply for consideration under the NBFoF.

5. Which AIFs are eligible to Apply?

AIFs may assess their eligibility for application by referring to the prescribed eligibility criteria available on the NBFoF website.

6. How can AIFs Apply?

Eligible AIFs can only apply through the “**Apply Now**” Button on the NBFoF website. Only those AIFs who pass initial-assessment score can submit their application.

7. How can the applicant check the application status?

All required communications regarding the application status will be conveyed to the applicant. For instance, once the AIF Cell begins processing the application, a notification will be sent to inform the applicant accordingly. Similar updates will also be provided at subsequent stages of the process.

8. What is the sector mandate?

The NBFoF follows a sector-agnostic investment approach, with no predefined restrictions on sectors. Investments may be made across sectors, subject to applicable regulatory guidelines and internal evaluation criteria.

9. What is the investible corpus under NBFoF?

The investible corpus under NBFoF is as per the regulatory guidelines prescribed by PFRDA pertaining to investments in AIFs under NPS.

As per extant PFRDA investment guidelines:

- Up to 1% of AUM (Government Sector) may be allocated to AIFs.
- Up to 5% of Scheme E & C AUM (Non-Government Sector)

Note: Alternative Assets also includes investment in Gold/Silver ETFs & REITs/InvITs.

10. Can an AIF seeking contribution invest in foreign companies/entities?

No, as per Section 25 of the PFRDA Act, 2013, Funds cannot be invested in securities of the companies or Funds incorporated and operated outside India.

11. Does the NBFoF provide any guarantee of allocation to shortlisted AIFs?

No, shortlisting does not guarantee a capital commitment. The selection process is conducted in two stages. Shortlisting by the Screening-Cum-Investment Committee constitutes only the first stage. Final commitment depends on:

- Regulatory Ceilings prescribed by PFRDA.
- Approval of the Pension Fund's Investment Committee, based on the applicable terms and conditions decided by it.

12. Who conducts assessment/appraisal?

The AIF Cell under NPS Trust conducts due diligence, including but not limited to:

- Investment strategy evaluation
- Track record verification
- Governance review
- Risk assessment
- Legal and regulatory compliance
- Operational diligence

13. What documents are typically required by AIF Cell for Evaluation/Appraisal of AIFs?

AIFs are required to submit, inter alia, the following documents for evaluation by the AIF Cell:

- SEBI registration certificate
- Private Placement Memorandum (PPM) and Investment Management (IM) Agreement
- Track Record (realized and unrealized performance)
- Details of Key Members such as Directors/Partners of the AIF.
- Organizational Structure
- Compliance certifications
- Valuation policy
- ESG Policy (if applicable)
- Risk management framework
- Litigation disclosure
- PMLA-related declarations
- Grading/Rating of AIF
- Non Disclosure Agreement

The above list is indicative and not exhaustive. Additional information/documents may be sought as part of the evaluation process, wherever required.

14. What reporting requirements are applicable to AIFs post-investment?

Post-investment, AIFs shall provide periodic reporting, including, but not limited to:

- Quarterly portfolio updates
- Net Asset Value (NAV) statements
- Capital account statements
- Valuation reports
- ESG reporting (if applicable)
- Material event disclosures

15. Is Limited Partners Advisory Committee (LPAC) participation required?

Yes, the NBFoF may seek participation in the LPAC to facilitate effective oversight and governance.

This may include:

- Representation on the LPAC
- Participation in key governance matters

16. What are the key expectations from General Partners (GPs)?

GPs are expected to adhere to high standards of professionalism and fiduciary responsibility, including:

- Adherence to strong institutional governance standards
- Regular and transparent communication with investors
- Timely and accurate reporting
- Strong alignment of interests with investors
- High standards of ethical conduct
- Focus on long-term value creation

17. Who is responsible for executing the Contribution Agreement?

The Contribution Agreement, along with any other relevant documents, shall be executed between the concerned Pension Fund scheme and the AIF.

18. What is meant by a First-Time Fund Manager?

A First-time Fund Manager is an Investment Manager that is raising and managing its first AIF and therefore lacks an established track record in managing AIFs or similar pooled investment vehicles, though the team may have prior individual experience in investments.

Further, An Investment Manager that has prior experience in managing an AIF in one category (e.g., **debt**) but is launching a fund in another category (e.g., **equity**) will be considered a first-time fund manager for that specific strategy, due to the absence of a demonstrated track record in the new category, and vice versa.

19. What is meant by “Last Fund”?

Last Fund refers to the latest vintage fund raised by the Investment Manager within the same strategy (e.g., Debt or Equity) as the proposed fund. Funds raised in a different category shall not be considered as the “Last Fund” for evaluation purposes.

20. What is meant by “AIF Business”?

AIF Business refers to the end-to-end fund management activities undertaken by the Investment Manager in relation to AIFs, including fundraising, deal sourcing, investment execution, portfolio management, monitoring, and exits.

21. What are the Big five Auditors?

Big Five auditors are Deloitte, PwC, EY, KPMG and Grant Thornton.

22. What are Equity Oriented Funds?

AIFs which invest primarily in equity or equity linked instruments or partnership interests of investee companies according to the stated objective of such fund.

23. What are Debt Oriented Funds?

Fund that invests primarily in debt securities of listed or unlisted investee companies, typically through privately negotiated or structured credit instruments, in accordance with its stated investment objectives.

24. Is there any restriction on the number of AIFs that can be funded by the NBFoF?

There is no restriction on the number of AIFs that may be funded by the NBFoF, as long as the investments remain within the limits prescribed under the PFRDA investment guidelines.